

26STCV05784 26STCV05784

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Case Number: 26STCV05784 Hearing Date: July 22, 2026 Dept: 407

Tentative Ruling

Judge Brock T. Hammond, Department 407

HEARING DATE: July

22, 2026 TRIAL

DATE: Not set

CASE: Beverly Hills

Center for Arthroscopic and Outpatient Surgery, LLC v. JPMorgan Chase Bank, et al.

ASE NO.: 26STCV05784

MOTION

OF DEFENDANT JPMORGAN CHASE BANK, N.A. TO COMPEL

ARBITRATION

AND STAY ACTION

DEFENDANT

BANK OF AMERICA, N.A.'S, AMENDED DEMURRER TO

PLAINTIFF'S

COMPLAINT

Plaintiff Beverly

Hills Center for Arthroscopic and Outpatient Surgery, LLC ("Plaintiff") alleges it issued a check from its account

with JPMorgan Chase Bank, N.A. ("Chase") payable to the Internal Revenue Service in the amount of \$125,000. Plaintiff alleges that the payee's name on the check was washed and changed to Mehrweks Auto and the check was subsequently deposited into a Bank of America, N.A. ("BofA") account for Mehrweks Auto. Plaintiff notified Chase of the altered check and filed a claim with Chase that Chase denied. Plaintiff alleges that Chase did not have proper procedures, policies, and protocols in place to detect the alteration or forgery on the check before paying the amount to the fraudsters.

Before the court are two matters: (1) BofA's demurrer to the Complaint, and (2) Chase's motion to compel arbitration of Plaintiff's claims and to stay this action. Because the court will grant Chase's motion, the court does not address BofA's demurrer.

I. BACKGROUND

On February 19, 2026, Plaintiff commenced this action against Defendants, Chase, BofA, and Damon Datamas Mehr, for (1) violation of Commercial Code § 4401, (2) breach of contract, (3) negligence, (4) conversion, (5) money had and received, (6) breach of fiduciary duty, (7) unfair competition, and (8) loss of property. All causes of action are asserted against Chase with the exception of the fifth and eighth causes of action.

On March 27, 2026, Chase filed its Answer to the Complaint. The Answer asserts binding arbitration as a defense.

On April 23, 2026, Chase filed this motion to compel arbitration and stay proceedings.

On July 9, 2026, Plaintiff filed an opposition.

On July 15, 2026, Chase filed a reply.

II. LEGAL STANDARD

Under California law, public policy favors arbitration as an

efficient and less expensive means of resolving private disputes. (Moncharsh v. Heily & Blase (1992) 3 Cal.4th 1, 8-9; AT&T Mobility LLC v. Concepcion (2011) 563 U.S. 333, 339 (Concepcion).)

Similarly, the Federal Arbitration Act

(FAA) reflects a liberal federal policy favoring arbitration and the

fundamental principle that arbitration is a matter of contract. (Concepcion, 563 U.S. at p. 339.) In line with these principles, courts

must place arbitration agreements on an equal footing with other contracts and

enforce them according to their terms.

(Ibid.) “[U]nder both the FAA

and California law, ‘arbitration agreements are valid, irrevocable, and

enforceable, save upon such grounds as exist at law or in equity for the

revocation of any contract.’”

(Higgins v. Sup. Ct. (2006) 140 Cal.App.4th 1238, 1247.) Accordingly, whether an agreement is

governed by the California Arbitration Act (CAA) or the FAA, courts resolve doubts regarding the

scope of arbitrable issues in favor of arbitration. (Moncharsh, 3 Cal.4th at p. 9; Comedy

Club, Inc. v. Improv West Assocs. (9th

Cir. 2009) 553 F.3d 1277, 1284.)

While the arbitration agreement may be

governed by the FAA, the agreement may be enforced via the summary procedures

provided by California arbitration law. (Rosenthal v. Great Western

Financial Securities Corp. (1996) 14 Cal.4th 394, 409-410.) It is a

“general and unassailable proposition . . . that States may establish the rules

of procedure governing litigation in their own courts,” even though the

controversy is governed by substantive federal law. (Felder v. Casey (1988)

487 U.S. 131, 138.) By the same token, however, a state procedural rule

must give way “if it impedes the uniform application of the federal statute

essential to effectuate its purpose, even though the procedure would apply to

similar actions arising under state law.” (McCarroll v. L.A. County etc.

Carpenters (1957) 49 Cal.2d 45, 61, 62.)

A party to an arbitration agreement may

seek a court order compelling the parties to arbitrate a dispute covered by

their agreement. (Code Civ. Proc., § 1281.2.) California statutes

create a “summary proceeding” for resolving petitions or motions to compel

arbitration. (Engalla v. Permanente Medical Group, Inc. (1997) 15

Cal.4th 951, 972.)

When a party has filed a petition to

compel arbitration, the trial court must determine in a summary proceeding

whether an “agreement to arbitrate the controversy exists.” (Code Civ. Proc., §§ 1281.2, 1290.2; Rosenthal, 14 Cal.4th at pp. 412–413.) In that proceeding, because the existence of the agreement is a statutory prerequisite to granting the petition, “[t]he petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.] In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination.” (Engalla, 15 Cal.4th at p. 972; Rosenthal, 14 Cal.4th at p. 413.)

The court should grant the motion unless it finds either (1) no written agreement to arbitrate exists; (2) the right to compel arbitration has been waived; (3) grounds exist for rescission of the agreement; or (4) litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (Code Civ. Proc., § 1281.2; Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218-219.)

The trial court typically decides the threshold issues of enforceability of the arbitration agreement and the scope of issues to be arbitrated. (Aanderud v. Sup.Ct. (Vivint Solar Developer, LLC) (2017) 13 Cal.App.5th 880, 891.)

III. DISCUSSION

A. Evidentiary Objections

Plaintiff submits six objections to the declaration of Halie Williams and one objection to the declaration of Steven Rodriguez.[1] The objections are OVERRULED.

B. Analysis

The court must decide three issues: (1) Did Plaintiff agree to arbitrate its claims? (2) Are Plaintiff's claims covered by the arbitration agreement? (3) Does the court have discretion to deny arbitration under Code of Civil Procedure section 1281.2(c)? (4) Is the agreement unconscionable? The

court addresses these issues in turn.¿¿¿

1. Existence of an Arbitration Agreement

a. Applicable Law¿

Code of Civil Procedure section

1281.2¿requires the trial court to order arbitration of a controversy “[o]n petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy ... if it determines that an agreement to arbitrate the controversy exists.” On a motion to compel arbitration, the threshold question is whether there is an agreement to arbitrate the dispute.¿ (Trinity v. Life Ins. Co. of North America¿(2022) 78 Cal.App.5th 1111, 1120.) The party seeking to compel arbitration bears the burden of proving by a preponderance of the evidence an agreement to arbitrate a dispute exists. (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC¿(2012) 55 Cal.4th 223, 236 (Pinnacle Museum);¿Rosenthal, supra, 14 Cal.4th at p. 413.) To meet this burden, the moving party must first produce “prima facie evidence of a written agreement to arbitrate the controversy.” (Rosenthal, 14 Cal.App.4th at p. 413; accord,¿Gamboa v. Northeast Community Clinic¿(2021) 72 Cal.App.5th 158, 165.) “If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then ... the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement.” (Gamboa, 72 Cal.App.5th at p. 165.) “If the opposing party produces such evidence, then ‘the moving party must establish with admissible evidence a valid arbitration agreement between the parties.’ ” (Trinity, supra, 78 Cal.App.5th at p. 1120.) “Despite the shifting burden of production, ‘[t]he burden of proving the agreement by a preponderance of the evidence remains with the moving party.’ ” (Ibid.)¿

b. Defendant Has Produced Prima Facie Evidence of a Written Agreement.¿

Here, Defendant makes a prima facie case for the existence of a valid arbitration agreement.¿ Defendant submits a document titled “Deposit Account Agreement” (hereafter, the “DAA”). The DAA states in pertinent part:

“You and we agree that upon the election of either of us, any claims or disputes will be resolved by binding arbitration as defined and discussed below, and not through litigation in any court (except for matters in small claims court).

This arbitration agreement is entered into pursuant to the Federal Arbitration Act, 9 U.S.C. §§ 1-16 (“FAA”) with respect to both substance and procedure.

YOU HAVE A RIGHT TO OPT OUT OF THIS AGREEMENT TO ARBITRATE. UNLESS YOU OPT OUT OF ARBITRATION IN THE MANNER DESCRIBED BELOW, YOU AND WE ARE WAIVING THE RIGHT TO HAVE OUR DISPUTE HEARD BEFORE A JUDGE OR JURY, OR OTHERWISE TO BE DECIDED BY A COURT OR GOVERNMENT TRIBUNAL, AND YOU AND WE ARE ALSO WAIVING ANY ABILITY TO ASSERT OR PARTICIPATE IN A CLASS, REPRESENTATIVE, OR CONSOLIDATED PROCEEDING, WHETHER IN COURT OR IN ARBITRATION, ALL DISPUTES, EXCEPT AS STATED BELOW, MUST BE RESOLVED BY BINDING ARBITRATION WHEN EITHER YOU OR WE REQUEST IT.”

(Williams Decl., Ex. D (“DAA”), § X., emphasis in original.) The DAA is referenced on the Business Signature Card which Plaintiff signed and further, the DAA was accessible to Plaintiff. (Williams Decl., ¶¶ 4-7, Exs. A-C.) Defendant meets their initial burden.¿

c. Plaintiff Does Not Sufficiently Challenge Having Agreed and Assented to the DAA.

The burden shifts.¿ Plaintiff does not dispute having signed the Business Signature Card or that the Card references the DAA. Instead, Plaintiff argues there is no valid agreement to arbitrate because Plaintiff did not receive any version of the DAA. (See F. Hekmat Decl., ¶¶ 2-9, 13; J. Hekmat Decl., ¶¶ 2-9, 13.) However, these statements are insufficient to invalidate the arbitration agreement.

“A contract may incorporate documents and terms by reference. Where it is clear that a party is assenting to a contract that incorporates other documents by reference, the incorporation is valid—and the terms of the incorporated document are binding—so long as the incorporation is “clear and unequivocal,

the reference is called to the attention of the other party and he consents thereto, and the terms of the incorporated document are known or easily available to the contracting parties.” (In re Holl (9th Cir. 2019) 925 F.3d 1076, 1084 (cleaned up).)

Here, the signature card provides: “The Depositor acknowledges receipt of the Bank’s Deposit Account Agreement or other applicable account agreement, which includes all provisions that apply to this deposit account, . . . and agree[s] to be bound by the terms and conditions contained therein as amended from time to time.” (Williams Decl., Ex. A.) The incorporation is clear and unequivocal. Defendant establishes that Plaintiff consented to the DAA’s terms, including the arbitration provision. See, e.g., Johnson v. JPMorgan Chase Bank, N.A. (C.D. Cal. Sep. 18, 2018) No. 17-cv-2477 JBG-SPx, 2018 WL 4726042, at *8 (finding Chase’s “Arbitration Provision is valid and enforceable” where “each [p]laintiff signed a Personal Signature Card incorporating by reference the Account Rules and Regulations or Deposit Account Agreements” and did not “reject[] the Arbitration Provision”) (footnote omitted); Andre v. U.S. Bank (C.D. Cal. May 20, 2021) No. 20-cv-4854-CBM-PJWx, 2021 WL 3598737, at *2 (compelling arbitration where plaintiff signed a signature card acknowledging receipt of an account agreement containing an arbitration clause.) Plaintiff does not meet its burden to show it did not agree and consent to arbitration of their claims. The court finds there is a valid arbitration agreement. ㄿㄿ

2.

Scope of Arbitration Agreementㄿ

Plaintiff next argues its third, fourth, fifth, sixth, and seventh causes of action are not covered by the DAA. Not so.

The DAA states, in broad terms:

“Claims or disputed factual or legal issues between you and us that arise out of or relate in any way to any aspect of our relationship, interactions, or dealings with each other, including but not limited to your deposit account, transactions involving your deposit account, whether actual, potential, canceled, or other transactions, any product, service, or agreement with us, or interactions of any kind with Chase employees or agents are subject to arbitration.”

(DAA,
§ X.)

Plaintiff's

claims plainly fall within the scope of the arbitration agreement. The court proceeds to consider Plaintiff's unconscionability challenge.

3.

Code of Civil Procedure section 1281.2(c)

Plaintiff

argues that the court retains discretion to deny arbitration under Code of Civil Procedure section 1281.2(c).

Section 1281.2(c) provides that a court shall refuse to enforce an arbitration agreement where: (1) a party to the arbitration agreement is also involved in a pending court action with third parties; (2) the claims arise out of the same transaction or series of related transactions; and (3) there is a possibility of conflicting rulings on common issues of law or fact.

The

argument is foreclosed by the terms of the arbitration agreement. Incorporation of the procedural provisions of the FAA divests the court of discretion to deny a motion to compel arbitration under Section 1281.2. (Victrola 89, LLC v. Jaman Properties 8 LLC (2020) 46 Cal.App.5th 337, 343.) Here, the arbitration agreement states, in relevant part, "This arbitration agreement is entered into pursuant to the Federal Arbitration Act, 9 U.S.C. §§ 1-16 ("FAA") with respect to both substance and procedure." (DAA, § X, emphasis added.) Having found the arbitration agreement is enforceable, and considering the applicability of the FAA's procedural provisions, the court does not have discretion to deny the motion to compel under Section 1281.2.

4. Unconscionability[2]

a.¿ Applicable Law

The party resisting arbitration bears the burden of proving unconscionability." (Pinnacle Museum, supra, 55 Cal.4th at p. 247.)¿ In general, the doctrine of unconscionability refers to "an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably

favorable to the other party.” (Sonic-Calabasas A, Inc. v. Moreno (2013) 57 Cal.4th 1109, 1133 (cleaned up).) In other words, the doctrine consists of procedural and substantive components, “the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results.” (Ibid.)

If unconscionable, the

arbitration agreement is not a valid contract and therefore is unenforceable. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114.)

Both components of unconscionability must be present to invalidate an arbitration agreement, but they need not be present in the same degree. (Id.)

“Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. In other words, the more substantively unconscionable the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Ibid.)

b. Procedural Unconscionability

Procedural unconscionability

focuses on the elements of oppression and surprise. (Pinnacle Museum, 55 Cal.4th at p. 247.) “Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice.... Surprise involves the extent to which the terms of the bargain are hidden in a ‘prolix printed form’ drafted by a party in a superior bargaining position.” (Davis v. TWC Dealer Group, Inc. (2019) 41 Cal.App.5th 662, 671.)

A “contract of adhesion”

creates some amount of procedural unconscionability – the term signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it. (Neal v. State Farm Ins. Cos.

(1961) 188 Cal.App.2d 690, 694.) In addition, a lack of effort to highlight the presence of an arbitration provision, such as through bold lettering, larger font, or capitalization, has been found to indicate procedural unconscionability. (See Higgins, supra, 140 Cal.App.4th 1238.) However, when there is no other indication of oppression other than the adhesive aspect of an agreement, the degree of procedural unconscionability is

low.¿ (Serpa v. California Surety Investigations, Inc. (2013) 215
Cal.App.4th 695, 704.)¿¿¿¿¿¿¿¿¿¿

Plaintiff confusingly

lumps together its procedural and substantive unconscionability challenges. As best the court can tell, Plaintiff identifies only one ground in support of procedural unconscionability. Specifically, Plaintiff argues the DAA is a contract of adhesion. The argument lacks

merit for two principal reasons. First, as

discussed above, the Business Signature Card incorporated the provisions of the DAA, including the arbitration provision.

Second, the arbitration provision contains an opt out clause. That clause states, in relevant part, “You have the right to opt out of this agreement to arbitrate if you tell us within sixty (60) days of opening your account.”

(DAA, § X.) Plaintiff cannot credibly argue the

arbitration agreement is a contract of adhesion when Plaintiff was provided an

avenue to opt out of the agreement to arbitrate. Plaintiff does not present any argument as to how the arbitration agreement itself is procedurally unconscionable.

In sum, Plaintiff does not establish any presence of

procedural unconscionability. Given that procedural and substantive

unconscionability must be present in an arbitration agreement in order for the

court to find it is unconscionable (Armendariz, supra, 24 Cal.4th at p. 114), the

court finds the DAA is enforceable.

IV.

CONCLUSION

The motion to compel arbitration is

GRANTED. The action is ordered

stayed pending completion of arbitration proceedings.¿

¿

A Status Conference re: Initiation of Arbitration

Proceedings is set for January 22, 2027, at 9:00 a.m.¿

Defendant Bank of America's Demurrer is TAKEN OFF CALENDAR.

Moving party is ordered to give notice,

unless waived.

Dated: July 22, 2026

Brock T. Hammond

Judge of the Superior Court

[1] Plaintiff does not identify the portion of the declaration of Steven Rodriguez to which it objects.

[2] Defendant argues the question of unconscionability should be decided by the arbitrator. The arbitration agreement directs otherwise. The DAA states, in relevant part, "Any disputes regarding whether any Claim is subject to arbitration and/or the scope of this arbitration provision shall be decided by a court, not the arbitrator." (DAA, § X.) The court grants the motion on other grounds.